DO NOT WRITE IN THIS AREA

8 Selina invests £2000 in a savings account for 3 years.
The account pays compound interest at a rate of 2.5% per annum.

Calculate the total amount of interest Selina will get by the end of the 3 years.

100% + 2.5% = 102.5%; multiplier = 1.025

1 mark
Compound multiplier.

After 3 years: £2000 × 1.025^3 = £2153.78125

1 mark
Apply it for 3 years.

Interest = £2153.78125 – £2000 = £153.78125

Total interest = £153.78

1 mark
Subtract the original £2000.

£.....

(Total for Question 8 is 3 marks)

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